

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS AMERICA, INC.
Complainant

VS.

SM LINE CORPORATION
Respondent

ERRATA SHEET TO RESPONDENT'S PROPOSED FINDINGS OF FACT

Respondent SM Line Corporation ("SM Line"), by and through its undersigned counsel, respectfully submits this Errata to include the citations to SM Line's appendix that were unintentionally omitted in SM Line's Proposed Findings of Fact, filed and served in this proceeding on May 15, 2024. Inclusion of the Errata will avoid unnecessary confusion over the body of the pleading and appendix cross-references with same.

- Page 1, paragraph 2 – See 2021 Service Contracts with Samsung Logitech Co., Ltd. ("Logitech"), **RX_0004506**, **RX_0004511**
- Page 1, paragraph 3 – **RX_0004542**, K.K. Choi Dep. Exhibit 10 (**SML_24967**) pg. 1, 9 and 10; **RX_0004502**, K.K. Choi Dep. Exhibit 14 (**SML_24968**) pg. 1, 10 and 13.
- Page 1-2, paragraph 4 – **RX_0002925-26** (English translation); **RX_0002931-32** (English translation); **RX_0002935-41** (English translation); CX_002293, Choi Dep. Tr. 46: 3-8; CX_002295, Choi Dep. Tr. 47: 13-25; 48:2-9; **RX_0004542**, K.K. Choi Dep. Exhibit 10 SML_24967 pg. 1, 9 and 10; **RX_0004502**, K.K. Choi Dep. Exhibit 14 SML_24967 pg. 1, 10 and 13.
- Page 2, paragraph 5 – **CX_003001-02**, Fernando Dep. Tr. 72:25; 73:2-9; **CX_004513**; **RX_0004089**.

- Page 2, paragraph 6 – **SEA_SMLINE_0068404**, RX_0003734, (**Excel: Tab: “Sheet 2”**).
- Page 2, paragraph 8 – **SEA_SMLINE_0068404**, RX_0003734 (**Excel: Tab: “Sheet 7”**).
- Page 2, paragraph 9 – **CX_000410-11**, K.K Choi Tr. 57:22-58:7, **CX_000320**, K.K. Choi 143(b)(6) Vol. 3 263:7-13; RX_0001199.
- Page 2, paragraph 10 – **CX_000320**, K.K. Choi 143(b)(6) Vol. 3 263:7-13.
- Page 3, paragraph 13 – **RX_0000913-915**, Huynh Tr. 64:16-65:8, 66:20-67:3.
- Page 3, paragraph 14 – **RX_0003728; RX_0003732** (The internal “approval table” involves multiple employees, including associates, team head(s), group head(s), and requires at least one of them to be a vice-president of the logistics team).
- Page 3, paragraph 16 – **CX_002728**, Rapske Tr. 116:10-17.
- Page 3, paragraph 17 – **RX_0004119; SM Line_0039715**, RX_0004120 (Samsung Logitech providing CNT list to SM Line).
- Page 7, paragraph 20 – Peter Kim in his capacity as SEA’s Senior Manager executed the CNT Agreement. **CX_004545-46**.
- Page 7, paragraph 23 – CX_004969, Goedinghaus Tr. 78:3 8; **SM Line_0177690**, RX_0004591.
- Page 7, paragraph 25 – Samsung SDS and Logitech had CNT related provisions like lists of CNTs in their respective contract bidding documents called “Maritime transport contract quotation guide”. **RX_0002962**.
- Page 8, paragraph 26 – The Logitech RFQ also addressed demurrage and detention issues. (“The contract freight rate includes all incidental expenses (excluding diversion/detention/demurrage)”) **RX_0002949**.
- Page 8, paragraph 27 – SDS then replied “Since SEA is requesting to proceed with Gold Point, please check their rate first in comparison with the UNIS cost”) **RX_0002925-26**.
- Page 8, paragraph 28 – Contingent capacity issue.” **RX_0003712-3715**
- Page 9, paragraph 33 – SM Line was required to use CNTs under the contracts with Samsung SDS and its contracts with Logitech. **RX_0002926**.
- Page 9, paragraph 34 – **RX_0002935-RX_0002945** (SEA insisting that SM Line only uses the CNT and not house trucker); **RX_0002925-RX_0002926** (SEA insists on using Gold Point as its CNT even when more expensive).

- Page 9, paragraph 35 – When SM Line proposed to use alternative truckers, SEA raised questions and pressured SM Line to use SEA’s CNT. **RX_0003712, RX_0002929.**
- Page 10, paragraph 37 – **CX_004483-84**
- Page 11, paragraph 40 – **RX_0001445.**
- Page 11, paragraph 41 – **RX_0004495**, (“This Contract incorporated by reference (a) SMLM-202, Service Contract Tariff,
- Page 11, paragraph 42 – **SM Line_0184142**, SEA’s Expert Report Ex. 5 p.1. (“Seaway Bill Terms and Conditions”).
- Page 12, paragraph 42 – (“The “Conditions of Carriage” of the seaway bill terms also clearly state that “This Waybill, which is not a document of title to the Goods, is subject to the terms and conditions, liberties, and exceptions of the Carrier’s standard bill of lading and tariff, copies of which may be obtained from the Carrier’s office and those of his authorized agents, and to the provisions set out below.”). **RX_0002301.**
- Page 12, paragraph 43 – SEA also received notice of the applicable tariffs from SM Line via email. **RX_0001443; RX_0001445.**
- Page 12, paragraph 45 – **CX_004969-004970, K.K.Choi Dep. Exhibit 2**
- Page 12, paragraph 46 – **CX_002665–66**, Rapske Dep. Tr. 53:21-25; 54:1; **CX_003044–45**, Fernando Tr. 115:19-116:4.
- Page 12, paragraph 47 – **CX_004516; RX_0004471; RX_0002275; RX_0004205-08; RX_0004479.**
- Page 12-13, paragraph 48 – **SEA_SMLINE_0027523**, Exhibit 4 to Fernando Deposition, **RX_0003622** (SEA providing instructions to Regal); **SM Line_0044843-46**, Exhibit 5 to Fernando Deposition, **RX_0004126-29.**
- Page 13, paragraph 48 – **RX_0000946**, Huynh Tr. 97:16-25.
- Page 13, paragraph 49 – SEA would send the instructions on “how we deliver to the customers” to the CNTS for each shipment. **CX_004306**, Lee Clair Rep ¶¶.59-62; **SEA_SMLINE_0027523**, **RX_0003622**, Fernando Dep. Exhibit 4 (p.2); **CX_003007–08**, Fernando Tr. 78:20-79:5.
- Page 13, paragraph 50 – **RX_0000946**, Huynh Tr. 97:16-18; **SEA_SMLINE_0027523, RX_0003622**, Fernando Dep. Exhibit 4
- Page 13, paragraph 51 – **RX_0003645-RX_0003646.**

- Page 13, paragraph 52 – Exhibit 4 to **SEA_SMLINE_0027523**, Fernando Deposition; RX_0003622; RX_0003645-RX_0003646; RX_0004125-RX_0004129.
- Page 14, paragraph 53 – **SM Line_0044843-46**, Exhibit 5 to Fernando Deposition, **RX_0004126-4128**;
- Page 14, paragraph 54 – RX_0001598-RX_0001601; **RX_0002925–26** (SEA communicates with SM Line on the appointment of the CNT); **RX_0001023926**
- Page 14, paragraph 55 – **CX_004306**, Lee Clair Report ¶.62; also RX_0001458; **RX_0001539; RX_0001461**.
- Page 14, paragraph 56 – **CX_002995**, Fernando Tr. 66:10-11; **CX_002852**, Goedinghaus Tr. 78:3-4;
- Page 15, paragraph 57 – If they stay longer then we are telling truckers they need to take care of anymore storage.” **RX_0001832-RX_0001834**.
- Page 15, paragraph 58 – As containers get delivered this will create open space to prepull new loads which we are working on daily.” **RX_0001759; RX_0001837**.
- Page 15, paragraph 59 – SEA’s long staying days are more than three (3) times when compared to other customers of SM Line during the reparation time period. RX_0004703 (pdf document).
- Page 15, paragraph 60 – Facilities were often unavailable to receive cargo which resulted in demurrage and detention charges. **RX_0001759;RX_0002894**
- Page 16, paragraph 64 – SEA was at all times responsible for its cargo clearing customs, including any demurrage that resulted from delayed customs clearance. **RX_0000898**, Huynh Tr. 49:15-21; **CX_003174**, Peter Kim Tr. 48:3-10.
- Page 16, paragraph 66 – SEA consistently failed to provide delivery instructions or documents for specific shipments resulting in demurrage. RX_0001759–RX_0001831; **RX_0002246-47**.
- Page 17, paragraph 67 – SEA’s CNTs were unable or unwilling to perform cargo movement for SEA and that resulted in demurrage charges even when the container were available. **RX_0001449**; RX_0003703; RX_0001759; **RX_0001837**.
- Page 17, paragraph 68 – SEA regularly instructed the CNT to prepull since 2019 when there was no real concerns for the demurrage charges. **CX_004309**, Clair report ¶¶.76-79; RX_0003636; RX_0003624
- Page 17, paragraph 69 – Diversion charges are SEA’s responsibility. **CX_004309**, Lee Clair report ¶.80; **CX_003089, CX_003091**. Fernando Tr. 160:18-24, **162:11-24**; RX_0004214.

- Page 17, paragraph 70 – Detention charges are incurred because of SEA’s failure to redeliver the container from its customers or its own facility and therefore are SEA’s responsibility. **CX_004310–4317**, Lee Clair report ¶¶.81-117; **CX_003038**, Fernando Tr. 109:7-13, 109:22-110:6; **RX_0000958**, Huynh 109:21:22; **RX_0001445**.
- Page 17, paragraph 71 – Port Demurrage charges are within SEA’s responsibility. **RX_0001199**; **CX_004311–317**, Lee Clair Report ¶¶.99 to 117; **RX_0001443**; **RX_0001445**; **CX_002304–05**, SEA 143(b)(6) Tr. 57:25-58:19, **CX_003238–39**, Peter Kim Tr. 112:13-113:5.
- Page 18, paragraph 74 – SEA was delinquent in its payments to the CNT. The CNT in turn would no longer accept to deliver SEA’s containers unless the overdue amounts were satisfied. **RX_0003703**; **RX_0002902-03**
- Page 18, paragraph 75 – SEA caused demurrage by scheduling appointments and deliveries after the last free day for a container. **RX_0002917**, **RX_0002048-2101**; **RX_0002894–95**.
- Page 18, paragraph 76 – SEA admits that it is responsible for demurrage if its customers or warehouses could not receive cargo. **RX_0001759–1831**.
- Page 18, paragraph 77 – SM Line often extended or caused the terminals to extend the Last Free Day in order to minimize the charges. **RX_0001440-RX_0001442**; **RX_0001458-RX_0001460**; **RX_0001461-RX_0001469**, (Examples of terminals extending LFD); **RX_0003565-66**; **RX_0001086-RX_0001093** (SM Line clearing LFD on SEA’s request).
- Page 18, paragraph 78 – SM Line’s cleared charges caused by the CNT’s delays on SEA’s behalf. **RX_0002248-53**; **RX_0001602-17**; **RX_0003565**; **RX_0001832-34**; **CX_000498**, K.K. Choi Tr. 145:11-23; **CX_001447–48**, Askins Tr. 152:18-153:16.
- Page 19, paragraph 79 – SM Line was proactive in his efforts to limit the effects of the congestion. **RX_0002905–2909** (SM Line making sure that containers are mounted on chassis in Chicago so that they can be picked up swiftly); **RX_0002894–RX_0002896** (SM Line pushing SEA’s affiliate SDS to pick up containers to avoid congestion); **RX_0002911-RX_0002915** (SM Line closing booking on certain routs to ease congestion)
- Page 19, paragraph 82 – SEA failed to particularize why each of the charges it claim should be refunded. **CX_003615**, **CX_003632**, SM Line Expert Clair Tr. 243:8-24, **260:7-17**

(SEA paid about \$7.2 million dollars to third party service providers of SEA and SEA’s expert did not take important factors to consideration, including the actions/inactions of SEA and/or CNTs). **CX_004481–83**, ¶¶.9-13, SM Line Expert Clair Rebuttal Report
- Page 20, paragraph 84 – The sample analysis of about 80 containers performed by SM Line supports the validity of SM Line’s charges. **RX_0000001–RX_0000849**.

- Page 20, paragraph 85 – SM Line has and had clear procedures for requesting waivers, refunds, or modifications to invoices. **CX_004665-70; CX_004657-64.**
- Page 21, paragraph 90 – SM Line waived demurrage and/or detention charges in accordance with its policy. **CX_001706-07**, Gaston Tr. 53:23-54:1; **CX_001588**, Chian Ma Tr. 78:14-21.
- Page 21, paragraph 92 – At SEA’s request, SM Line provided support so that the ocean terminal could provide a “peel off” program allowing CNTs to pick up a container without having to make an appointment with the terminal. **RX_0003670, RX_0003549.**
- Page 21, paragraph 93 – discounted demurrage and/or detention charges and/or balances, including with SEA. **RX_0004706; RX_0004707.**
- Page 21, paragraph 94 – In these same two quarter, SM Line had D&D collections of \$29.9M. D&D collections would have been more than 75% higher than actual collections if SM Line had not provided the D&D waivers. CX_004304, SM Line Expert Clair report ¶.45.
- Page 21, paragraph 95 – The increase in SM Line actual waived D&D fees for U.S. imports increased by an even higher 10.7 times from Q2, 2020 to SM Line’s peak in Q4, 2021, from \$1.1M to \$12.9M. **CX_004304**, SM Line Expert Clair report ¶47;
- Page 22, paragraph 98 – SEA consistently approved SM Line’s invoices. RX_0003615, **RX_0001047**, RX_0003627, RX_0003652, RX_0004224.
- Page 22, paragraph 100 – The Detention and Demurrage Improvement Plan, drafted by Sung Hyun Kim in his personal capacity, on which SEA’s heavily relies, was never implemented. Sung-Hyun Kim **CX_000674-77**, Tr. 21:17-22:12, 23:7-11.
- Page 22, paragraph 101 – In the total reparation claim SEA has against SM Line, SEA includes approximately \$3.2 million that SEA says it paid to two truckers (ie. PB Industries and Gold Point). CX_004385; **RX_0003584**
- Page 22, paragraph 102 – In the total reparation claim SEA has against SM Line, SEA includes approximately \$1.7 million that SEA says it paid to Samsung SDS or Samsung SDS America. CX_004385; **RX_0003584**
- Page 22, paragraph 103 – In the total reparation claim SEA has against SM Line, SEA includes approximately \$1.7 million that SEA says it paid for prepull and yard/storage. CX_004382; **RX_0003584**
- Page 22, paragraph 104 – In the total reparation claim SEA has against SM Line, SEA includes approximately \$1 million that SEA says it paid for rehandling issues. CX_004385; **RX_0003584**

- Page 22, paragraph 105 – In the total reparation claim SEA has against SM Line, SEA includes approximately \$573k million that SEA says it paid for chassis shortage. CX_004385; **RX_0003584**
- Page 23, paragraph 106 – In the total reparation claim SEA has against SM Line, SEA includes approximately \$16,400 that SEA says it paid for chassis flip, chassis, reposition, and chassis split. CX_004385; **RX_0003584**
- Page 24, no paragraph number – The demurrage charges also referred to in SEA **CX_004844-4846**, involved shipments on behalf of Samsung International Inc., not SEA. SEA did not pay those charges. **SM Line_0055069**, Solarez Dep. Ex. 28, RX_0004269.

Dated: May 20, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 20th day of May 2024, the foregoing document was served via electronic mail on:

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Federal Maritime Commission
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